EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Lal-lo, the former Ciudad de Nueva Segovia, is strategically situated at the center of the Province of Cagayan. As the seat of both the civil and ecclesiastical government during the Spanish Regime, this town is rich in historical heritage and endowed with a lot of tourist attractions. Its economic potential is boosted by the presence of Magapit Suspension Bridge, which is the gateway to the Ilocos Region and the air facility of the Cagayan Economic Zone, the Lal-lo International Airport, as well as the establishment of the Cagayan Sub-Capitol at Barangay Bangag.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Lal-lo for the year 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	1,384,455,743.39	1,306,883,759.72	77,571,983.67
Liabilities	560,035,536.88	481,316,373.01	78,719,163.87
Government Equity	824,420,206.51	825,567,386.71	(1,147,180.20)
Financial Performance			
Income	480,346,235.57	441,416,231.91	38,930,003.66
Expenses	479,059,043.44	425,012,342.28	54,046,701.16
Net Income	1,287,192.13	16,403,889.63	(15,116,697.50)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Construction of Motor Pool at LGU Compound	P7,583,731.61
Construction of Super Health Center Medium Model	6,993,195.06
Concreting of Tucalana Barangay Road	6,990,989.23
Concreting of Cambong-Binag Farm to Market Road	4,989,746.11
Construction of Evacuation Center at Maxingal	4,454,701.93
Concreting of Nagsabaran Road at Naguilian	3,774,796.30
Installation of Street Light Along Logac-Lasam-Gagabutan, Road	3,592,415.89
Total	**P38,379,576.13**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lal-lo, Cagayan for the year-ended December 31, 2024 due to: (a) unreconciled balances of Real Property Tax and Special Education Tax Receivables amounting to P122,318,220.34; (b) discrepancy in the recorded balances of Due from Other Funds and Due to Other Funds, amounting to P32,688,870.12; and (c) inclusion of items, with a carrying value of P14,368,556.29, in the books of accounts, which failed to meet the capitalization threshold as PPE.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Donation received for calamity assistance amounting to P10,000,000.00 was not recorded in the Trust Liabilities-DRRMF account, rather, it was recorded under the Other Payables account, hence, monitoring on the compliance on the intended purpose of the assistance may not be achieved.

   We recommended that the Municipal Accountant properly record future financial assistance to be received, under the Trust Liabilities-DRRMF account and ensure timely compliance or implementation of programs/purpose intended by the grant, pursuant to COA Circular 2014-002 dated April 15, 2014.

2. Due to GSIS account accumulated a balance of P2,188,025.16 as at December 31, 2024, despite the monthly remittance of mandatory deductions and loan amortizations, due to delays in updating of membership records in the GSIS database. This exposes the members to the risks of ineligibility to avail

GSIS benefits or potential penalties on outstanding balance due to discrepancies in recorded loan payments.

We recommended that the Management:

a) Direct the AAO and the ERF Handler to conduct dialogues with GSIS to clarify the effectivity period of requests for updating of membership records;

b) Require the AAO to upload the Membership updates within the same month changes occur, pursuant to Items D and C (2) of the GSIS Memorandum Circular No. 027, series of 2021;

c) Direct the ERF Handler to regularly reconcile with the GSIS to determine the amount of unremitted premiums due for remittances and promptly report discrepancies to the Management;

d) Remit immediately the amount due to the GSIS as a result of the reconciliation to avoid accumulation of unpaid premiums; and

e) Require the OIC-Municipal Accountant to record the appropriate adjustments to reflect the correct ending balance of the Due to GSIS.

3. Procurement of petroleum fuel, oil and lubricants (POL) totaling P17,211,861.30 were not included in the Annual Procurement Plan for CY 2024 of the Municipality, and were paid to a single supplier without any contract. Hence, there is no legally binding obligation between the Municipality and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, specifically the inclusion of estimate POL products in the Annual Procurement Plan and execution of contract/agreement between the Municipality and the supplier to warrant any damage/loss.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P25,130,000.00	-	-	P25,130,000.00	-
Current Year	-	-	-	-	-
Total	P25,130,000.00	-	-	P25,130,000.00	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2023 Annual Audit Report, five (5) were fully implemented, one (1) was partially implemented and two (2) were not implemented.